

Balance Sheet

The Balance Sheet details the financial position of a company on a particular date; of the company's assets (that which the company owns), and liabilities (that which the company owes), grouped logically under specific heads. It must, however, be noted that the Balance Sheet details the financial position on a particular day and that the position can be materially different on the next day or the day after.

Example: Vasanth Limited had taken a loan of Rs. 200 lakh on 1 December 2009 which was repayable on 1 April 2010. On 31 March 2010, its Balance Sheet was as follows:

Vasanth Ltd.		
Balance Sheet as at 31 March 2010		
		(In Rupees Lakh)
Shareholders' funds	100 Fixed Assets	70
Loan funds	200 Investments	30
Current liabilities	20 Current Assets	220
	320	320

Current assets include cash of Rs. 100 lakh to repay the loan. Vasanth Ltd. did repay the loans, as promised on 1 April 2010. Its Balance Sheet after the repayment read:

Vasanth Ltd.		
Balance Sheet as at 1 April 2010		
		(In Rupees Lakh)
Shareholders' funds	100 Fixed Assets	70
Loan funds	----- Investments	30
Current liabilities	20 Current Assets	20
	120	120